While there was no doubting the inherent strength and efficiency of the Imperial Bank and the commanding heights it had attained, it was equally true that Indian banking had failed to reach the vast majority of the rural masses who continued to remain in the clutches of the professional moneylender and trader. This fact was amply highlighted by the findings of the AIRCS. The creation of a state banking institution for the development of rural banking which would ensure the flow of adequate credit in the rural areas both for purposes of agriculture and small-scale industries and the mobilization of rural savings was therefore considered imperative. The new bank was also to lend active support to ‘diverse other public purposes’ as the major banking arm of the government. Abhik Ray observes, ‘Thus it would perhaps be fair to say that the Imperial Bank was taken over not because it was mismanaged but because the priorities of a newly independent India required a different approach which a financial institution in the private sector would not probably best address. The Imperial Bank with its rich legacy provided the perfect launching pad for the new State Bank or India in much the same way the Presidency Banks had afforded a durable platform to the former in 1920.’[29]